



“In my assessment, now we will probably not see a growth rate of China that is more than 5%—more likely 3% or 4%”

loans] to the current era? Do you believe that Indian banking, particularly the public sector, has transformed?

A: When I was at the NITI Aayog, I greatly worried about non-performing assets (NPA) in the banking sector, which were massive at some point of time. That episode is now behind us. But, you know, I would hate to be duped once again into thinking that we are now in a very secure zone. It is true that there is no ‘phone banking’ going on in the current administration. But you know, finance is a strange animal, and it is hard to predict if NPAs will be recreated. In our own history, it [the NPA crisis] was not the first episode, but the biggest one so far of NPAs happening. One thing you see, which is very asymmetric, is that all the money the government had to invest was invested in the public sector banks. The government did not invest anything in private sector banks, although it did rescue one of them. But in the end, no public money actually got lost in doing so.

I think this is in fact a good opportunity when the banks are now in good health, they are flourishing, and they have solid value. This is a good time to privatise. I think when the government comes back in its next term, and I say this wearing my economist hat, it should seriously start privatising some of the banks. This is going to be a very long-drawn process anyway. It is not an issue of privatising all the public sector banks, but the process should begin. Because I still think that in the end, the pressure of the market is very important for banking to be efficient. As privatisation progresses, we can assess and judge whether the privatised banks are actually doing better than those that have not been [privatised]. We can then take a call on the other banks at that stage. But that process, really, I think, does need to begin soon.

Q: How do you read the situation in the Chinese economy? Do you think it is out of the woods or will it continue to flounder?

A: Well, one thing is certain that the 10% growth that

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